Sail Agent Performance Analysis

Q1 2026

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April 2026

Abstract

This report presents a comprehensive analysis of Sail's autonomous yield optimization performance during Q1 2026 (January–March). Sail manages stablecoin portfolios across USDC and USDT on Base and Arbitrum networks, as well as EURC on Base. Key results:

- **USD Market (USDC/USDT)**: 6.06% APY vs 4.12% market median (**+47.1%** relative outperformance, **+1.94 pp** absolute)
- **EUR Market (EURC)**: 2.27% APY vs 2.24% market median (**+1.3%** relative outperformance, **+0.03 pp** absolute)

All returns are net of transaction costs, gas fees, and protocol fees. Sail charges no additional management or performance fee. Sail's risk management system (Sonar) prevented exposure to two major security incidents during the quarter: the Moonwell oracle exploit (February 15) and the Resolv Protocol exploit (March).

Note: Performance metrics represent aggregate results across all Sail users. Individual user returns may vary based on personal strategy customizations (e.g., disabling specific protocols or networks), which can result in different yield profiles.

Risk Disclosure

For informational purposes only. This report is provided for informational and analytical purposes only and does not constitute investment advice, a solicitation, or an offer to buy or sell any financial instrument or product. Recipients should conduct their own independent due diligence and consult qualified financial, legal, and tax advisors before making any investment decisions.

Past performance. Historical performance data presented in this report is not indicative of future results. Yield rates in decentralized finance (DeFi) are highly variable and subject to rapid change based on market conditions, protocol parameters, liquidity levels, and other factors outside Sail's control.

DeFi and smart contract risk. Funds managed through Sail interact with third-party DeFi protocols. These protocols carry inherent risks including, but not limited to: smart contract vulnerabilities, oracle manipulation, governance attacks, liquidity crises, and protocol insolvency. Although Sail's Sonar system actively monitors and mitigates these risks, no monitoring system can guarantee complete protection against all loss scenarios.

Cross-chain and bridge risk. Sail operates across multiple blockchain networks (Base and Arbitrum). Cross-chain operations involve additional risks associated with bridging infrastructure and network-specific incidents.

Regulatory risk. The regulatory landscape for DeFi and digital assets is evolving. Changes in applicable laws or regulations may adversely affect Sail's operations or the availability of certain protocols and strategies.

Liquidity risk. Certain protocols or positions may have limited liquidity, which could result in delays or increased costs when exiting positions.

No guarantee of returns. Sail's yield optimization aims to maximize risk-adjusted returns, but cannot guarantee any specific return. Users may experience returns below the benchmarks presented herein or, in extreme scenarios, partial or total loss of principal.

Jurisdictional limitations. This report is not directed at persons in jurisdictions where its distribution or use would be contrary to applicable law or regulation.

Contents

1 Executive Summary

1.1 Methodology Note

The performance data in this report represents **aggregate results across all Sail users** during Q1 2026. Sail allows users to customize their strategies by:

- Disabling specific protocols they consider too risky
- Restricting operations to a single chain (Base or Arbitrum only)

These customizations may result in individual performance that differs from the aggregate metrics shown. Users who disable high-performing protocols will see lower returns; conversely, users who accept broader protocol coverage may see returns closer to or above these averages.

APY calculation. All APY figures represent time-weighted annualized returns calculated from daily net asset value changes, compounded daily over the 90-day quarter. Returns are net of transaction costs, gas fees, and protocol fees. Full-precision figures are used internally; displayed percentages are rounded to two decimal places, and dollar amounts in Section 7 use full-precision values (see Appendix A for details).

Outperformance figures throughout this report are expressed as *relative* outperformance — i.e., how much higher Sail's return is as a fraction of the benchmark. Absolute percentage-point (pp) differences are provided alongside for clarity.

1.2 Q1 2026 Results

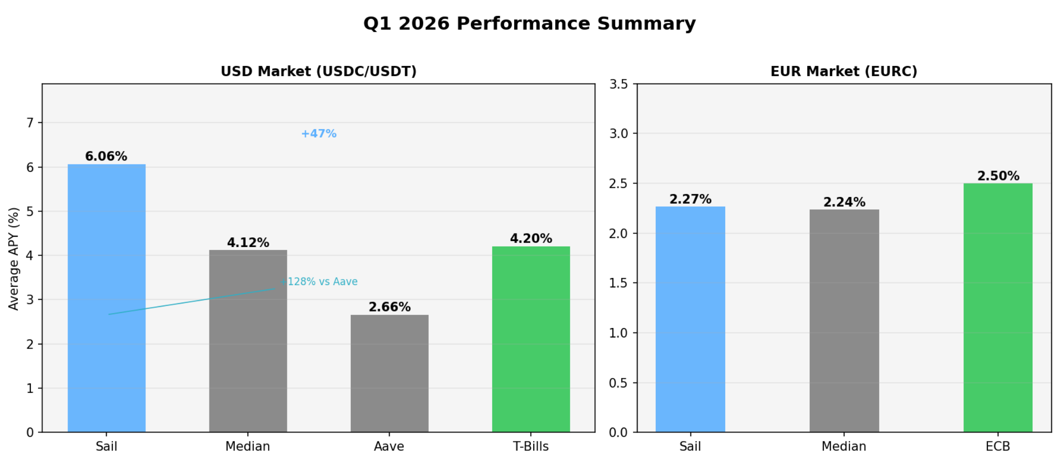

Figure 1: Q1 2026 Performance Summary: USD and EUR Markets

Metric	USD Market	EUR Market
Sail Average APY	**6.06%**	**2.27%**
Market Median APY	4.12%	2.24%
Outperformance (relative)	**+47.1%**	**+1.3%**
Outperformance (absolute)	**+1.94 pp**	**+0.03 pp**
TradFi Benchmark	T-Bills 4.20%	ECB 2.50%
vs TradFi (relative)	**+44.3%**	**−9.2%**
vs TradFi (absolute)	**+1.86 pp**	**−0.23 pp**
Aave (DeFi Benchmark)	2.66%	0.75%
vs Aave	**+127.8%**	**+202.7%**
Stablecoins	USDC, USDT	EURC
USDC on Base	14	–
USDC on Arbitrum	15	–
USDT on Arbitrum	3	–
EURC on Base	–	4
Networks	Base, Arbitrum	Base

Part I
USD Stablecoin Market

Sail optimizes yield across both USDC and USDT stablecoins on Base and Arbitrum networks, dynamically allocating capital to the highest-yielding protocols while maintaining risk diversification.

2 USD Performance Timeline

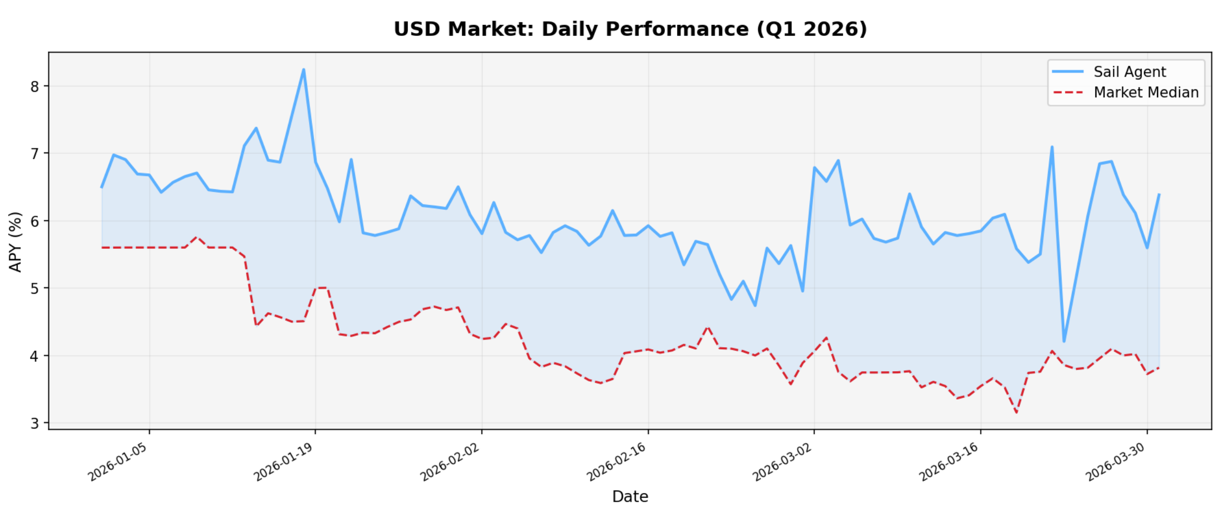

Figure 2: Daily APY: Sail Agent vs Market Median (Q1 2026). Shaded area represents Sail's outperformance.

Sail consistently maintained higher yields through intelligent rebalancing, staying above the market median throughout the quarter.

3 USD Protocol Comparison

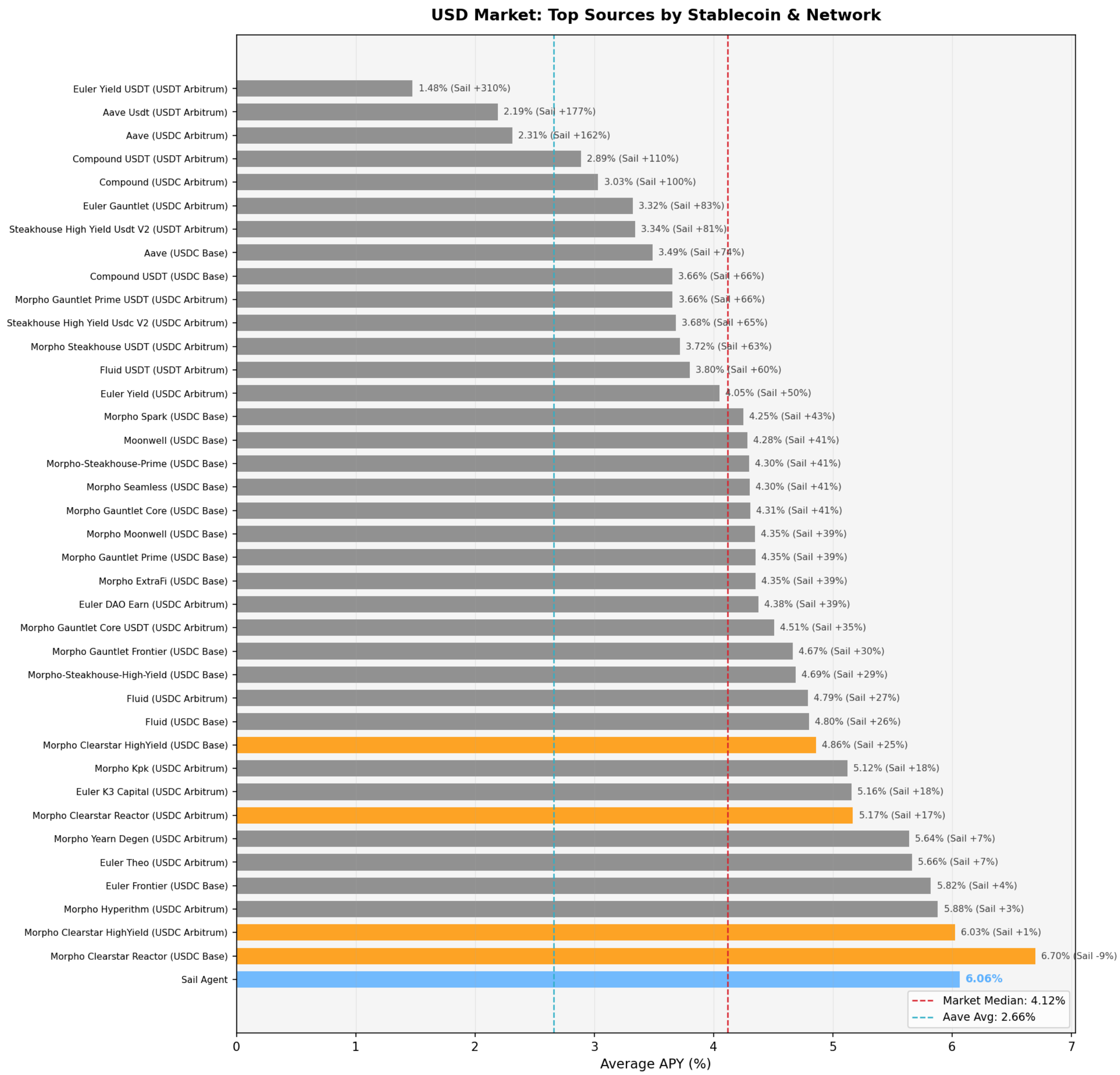

Figure 3: USD Market: Sail vs All Active Protocols (Q1 2026). Protocols disabled by Sonar during the quarter are excluded from this chart.

3.1 Top Performing Sources

Each source represents a unique combination of protocol, stablecoin, and network. A user can hold multiple positions in the same protocol across different stablecoins and networks (e.g., Morpho Steakhouse on USDC Base, USDC Arbitrum, and USDT Arbitrum).

Why does Sail's aggregate APY exceed every individual protocol's average? Each protocol's average APY is its time-weighted return over the full quarter, including periods when its yield was low. Sail continuously rebalances toward the highest-yielding protocols at any given time—concentrating in Protocol A when it peaks and rotating to Protocol B as conditions shift. This dynamic approach captures the top of the yield curve across all 32 sources rather than the full-quarter average of any single one, which is how the aggregate result exceeds what any static single-protocol allocation would have produced.

Source	Avg APY	vs Sail
Sail Agent	6.06%	–
Morpho Hyperithm (USDC Arbitrum)	5.88%	Sail +3%
Euler Frontier (USDC Base)	5.82%	Sail +4%
Euler Theo (USDC Arbitrum)	5.66%	Sail +7%
Morpho Yearn Degen (USDC Arbitrum)	5.64%	Sail +7%
Euler K3 Capital (USDC Arbitrum)	5.16%	Sail +17%
Morpho Kpk (USDC Arbitrum)	5.12%	Sail +18%
Fluid (USDC Base)	4.80%	Sail +26%
Fluid (USDC Arbitrum)	4.79%	Sail +27%
Morpho Steakhouse (USDC Base)	4.69%	Sail +29%
Morpho Gauntlet Frontier (USDC Base)	4.67%	Sail +30%
Euler K3 Capital (USDT Arbitrum)	4.51%	Sail +34%
Morpho Gauntlet Core (USDT Arbitrum)	4.51%	Sail +34%
Market Median	*4.12%*	Sail +47%
Aave (USDC avg)	2.66%	Sail +128%

4 Security & Risk Management: Sonar

Sail's proprietary risk detection agent, **Sonar**, continuously monitors all active protocols and automatically disables sources that exceed acceptable risk thresholds. This automated system prevented user exposure to two major security incidents during Q1 2026:

- **Moonwell oracle exploit — February 15, 2026.** A logic bug in governance proposal MIP-X43 caused cbETH to be mispriced at approximately $1.12 instead of its correct ~$2,200, enabling immediate liquidation abuse. The incident resulted in $1.78M in bad debt and harmed 181 borrowers on Base. Sonar flagged abnormal oracle behaviour on Moonwell's Base markets and suspended exposure before the scale of the exploit was publicly confirmed.
- **Resolv Protocol exploit — March 22, 2026.** An attacker compromised Resolv's cloud key management infrastructure (AWS KMS), gaining control of the `SERVICE_ROLE` — the privileged signing key used to authorise swap completions in Resolv's minting contract. Because the contract lacked oracle validation, amount caps, and mint-ratio checks, the attacker deposited approximately $100,000 in USDC and received 50 million USR in return, roughly 500× the legitimate amount. In total, $80M of unbacked USR was minted and approximately $25M extracted in ETH. USR de-pegged sharply to $0.003 on Curve before partially recovering, and the cascading bad debt harmed downstream lending protocols. Sonar detected abnormal vault activity consistent with an unchecked minting event and suspended all Resolv-exposed positions before USR's de-peg became publicly visible or confirmed.

This risk-first approach explains why Sail's realized APY may occasionally trail certain high-risk sources—we prioritize capital preservation over chasing unsustainable yields.

5 USD Cross-Chain Performance

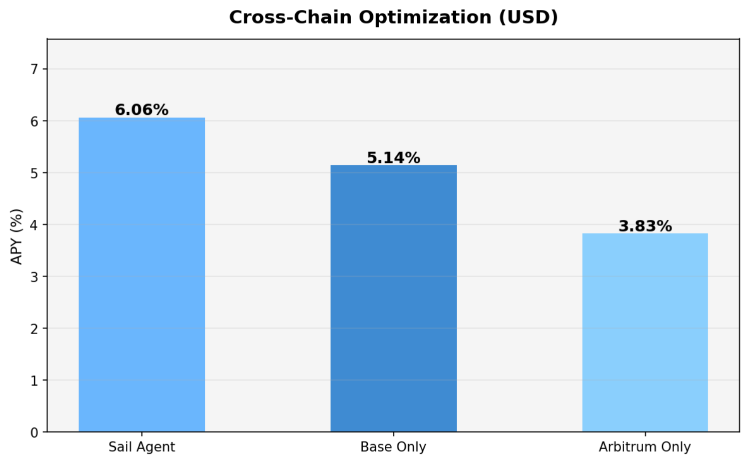

Figure 4: Sail's cross-chain optimization vs single-chain strategies

Sail's combined cross-network strategy achieved 6.06% APY, exceeding both the Base-only average (5.14%) and the Arbitrum-only average (3.83%). These single-chain figures represent the time-weighted average yield across *all* protocols available on that chain—equivalent to a broadly diversified, static single-chain allocation. Sail is not constrained to hold a proportional share of every protocol on every chain; instead, it targets the highest-yielding sources across *both* networks simultaneously, concentrating capital wherever yield leads on any given day. This selective cross-chain allocation is what allows Sail's combined result to exceed either chain's broad average.

6 USD vs Traditional Finance

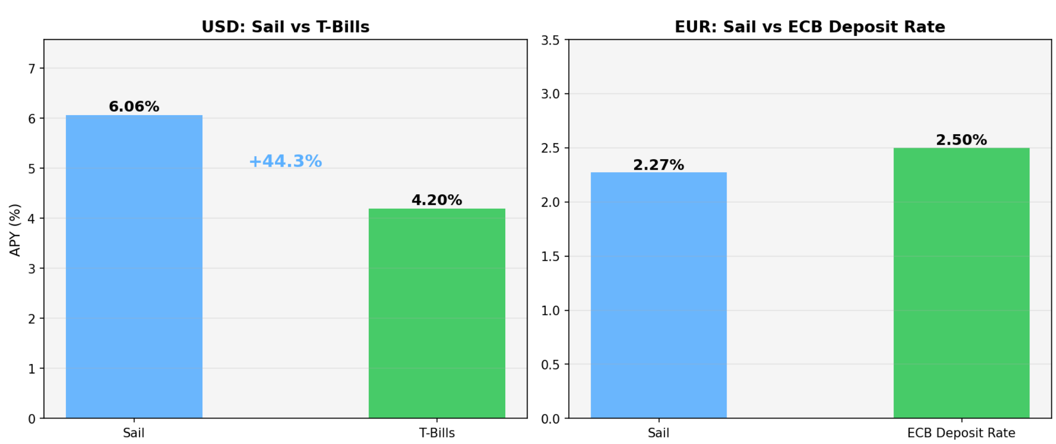

Figure 5: Sail vs Traditional Finance Benchmarks. USD compared against 3-month U.S. T-Bills; EUR compared against the ECB Deposit Facility Rate.

The **1.86 percentage point premium** over U.S. Treasury Bills represents significant additional yield while Sail actively mitigates DeFi risks through protocol diversification and Sonar's automated monitoring.

7 USD Real Dollar Impact

Investment	Sail Return (Q1)	Market Median	Extra Profit
$10,000	$152	$103	**+$49**
$50,000	$758	$515	**+$243**
$100,000	$1,516	$1,029	**+$486**
$500,000	$7,578	$5,147	**+$2,431**
$1,000,000	$15,157	$10,294	**+$4,863**
Annualized projections (assumes Q1 2026 conditions persist; actual annual returns will vary):			
$100,000	$6,063	$4,117	**+$1,945**
$500,000	$30,314	$20,587	**+$9,726**
$1,000,000	$60,627	$41,174	**+$19,453**
Dollar figures use full-precision APY values; minor differences from rounded percentages are expected.			

Part II
EUR Stablecoin Market

The EUR stablecoin market (EURC) represents a growing segment of DeFi yield opportunities, currently concentrated on Base network.

8 EUR Market Overview

Metric	Value	Note
Sail Average APY	**2.27%**	
Market Median APY	2.24%	
Outperformance (relative)	**+1.3%**	+0.03 pp absolute
ECB Deposit Rate	2.50%	Risk-free benchmark
vs ECB (relative)	**−9.2%**	−0.23 pp absolute
Active Protocols	4	
Chain	Base	

EUR market context. Sail's EUR result (2.27%) trails the ECB deposit rate (2.50%) by 23 basis points. This reflects the current state of the EURC DeFi ecosystem: with only four active protocols on Base, the yield opportunity set is constrained and has not yet sustainably exceeded the risk-free rate. This gap is a structural feature of a nascent liquidity market—not an optimization failure. Sail captured the maximum available alpha within the EUR DeFi universe, beating the market median by 0.03 pp. As EURC adoption deepens and protocol competition increases, we expect this gap to compress. See Section 11 for the outlook.

9 EUR Performance Timeline

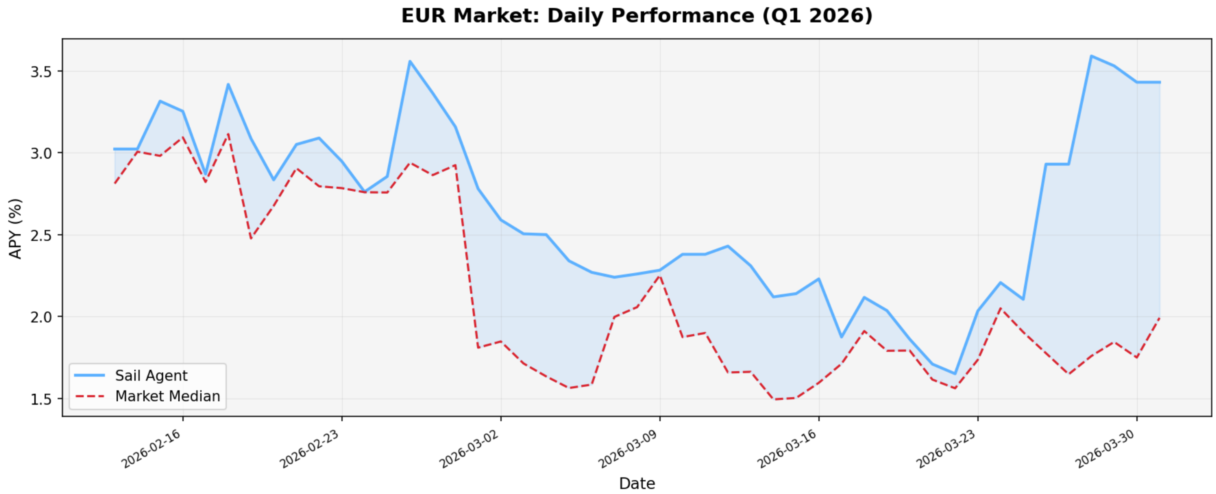

Figure 6: EUR Market: Daily APY. Data covers mid-February through March 2026, reflecting Sail's EURC tracking start date. January is excluded as EURC positions were not yet active.

Note on data window: EUR performance data begins mid-February 2026 when Sail's EURC allocation on Base became active. The aggregate APY figures (2.27% Sail, 2.24% market median) cover this period only, not the full calendar quarter.

10 EUR Protocol Comparison

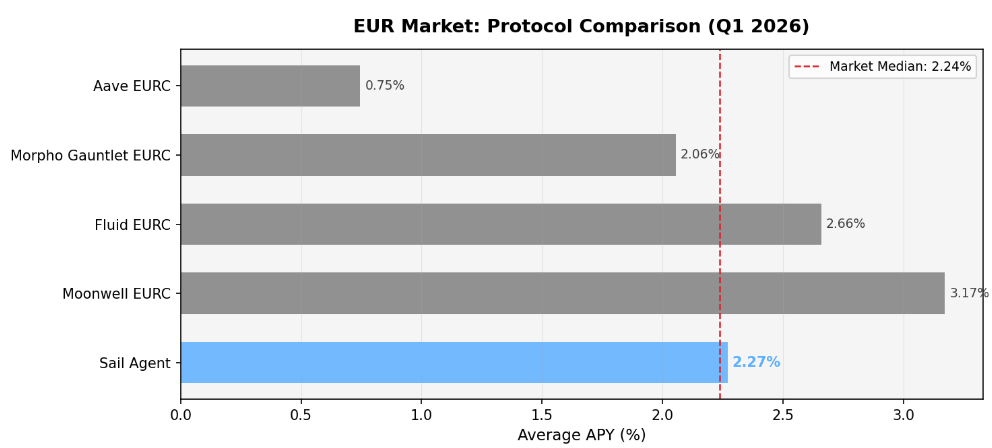

Figure 7: EUR Market: Sail vs All Protocols

Source	Avg APY	vs Sail
Moonwell EURC	3.17%	Sail −28%
Fluid EURC	2.66%	Sail −15%
Sail Agent	**2.27%**	–
Market Median	*2.24%*	Sail +1%
Morpho Gauntlet EURC	2.06%	Sail +10%
Aave EURC	0.75%	Sail +203%

Note: Sail's EUR result sits between the two higher-yielding sources (Moonwell, Fluid) and the two lower-yielding ones (Morpho Gauntlet, Aave). This is consistent with Sail's risk-adjusted allocation across all four protocols rather than concentrating fully in the highest-yield source, in line with its capital preservation mandate.

11 EUR Market Outlook

The EUR stablecoin market is positioned for growth:

- **EURC adoption** — Circle's EURC gaining traction across DeFi protocols
- **Protocol expansion** — More lending protocols adding EUR support
- **Cross-chain opportunities** — Arbitrum EUR markets emerging

Sail is positioned to capture these opportunities as they develop, with Sonar's monitoring already extended to EUR-denominated protocols.

Part III
Conclusion

12 Summary

Q1 2026 demonstrates Sail's value across both stablecoin markets:

Achievement	USD (USDC/USDT)	EUR (EURC)
Sail APY	**6.06%**	**2.27%**
Market Outperformance (relative)	+47.1%	+1.3%
Market Outperformance (absolute)	+1.94 pp	+0.03 pp
Active Sources	32	4
Networks	Base, Arbitrum	Base
Security Incidents Avoided	2 major	–
Net Returns	✓	✓

Sail's combination of yield optimization and proactive risk management through Sonar delivers superior risk-adjusted returns compared to both static DeFi strategies and traditional finance alternatives.

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A Methodology

A.1 APY Calculation

All APY figures are time-weighted annualized returns derived from daily net asset value (NAV) changes, compounded daily over the 90-day quarter:

$$\text{APY} = \left(\prod_{d=1}^{N} (1 + r_d) \right)^{365/N} - 1$$

where r_d is the net daily return on day d, and N is the number of trading days in the measurement period. For the USD market, $N = 90$ (January 1 – March 31, 2026). For the EUR market, $N = 47$ (mid-February – March 31, 2026), reflecting Sail's EURC allocation start date. Returns are net of transaction costs, gas fees, and protocol fees on every rebalancing event.

A.2 Market Median

The market median APY is computed daily as the median APY across all active, non-disabled protocol–stablecoin–network combinations tracked by Sail. Protocols flagged by Sonar are excluded from the median on the days they are disabled.

A.3 Benchmarks

- **U.S. T-Bills**: 3-month U.S. Treasury Bill yield, averaged over Q1 2026.
- **ECB Deposit Rate**: ECB Deposit Facility Rate, averaged over Q1 2026.
- **Aave**: Simple average of Aave supply APY for the relevant stablecoin across supported networks, averaged over Q1 2026.

A.4 Outperformance Figures

Relative outperformance is expressed as:

$$\text{Relative outperformance} = \frac{\text{Sail APY} - \text{Benchmark APY}}{\text{Benchmark APY}}$$

Absolute outperformance is expressed in percentage points (pp). Both measures are reported in the executive summary table.

A.5 Dollar Impact Table

Quarterly returns are calculated as Principal $\times \frac{\text{APY}_{\text{full precision}}}{4}$. Annualized projections assume constant Q1 2026 APY conditions applied over four quarters and are provided for illustrative purposes only; they are not a forecast. Dollar figures may differ slightly from those derived using the rounded APYs shown in the report body because full-precision values are used throughout.

A.6 Cross-Chain Benchmarks

The Base-only (5.14%) and Arbitrum-only (3.83%) figures represent the time-weighted average APY of a hypothetical equal-weight static allocation across all protocols available on that chain. They are not Sail's optimized single-chain allocation, and therefore represent the broad passive benchmark for each network — not the ceiling achievable by active management on that chain alone.

A.7 Source Definition

A "source" is a unique combination of (protocol, stablecoin, network). A single protocol may appear multiple times if it operates across different stablecoins or networks. USD totals: 14 (USDC/Base) + 15 (USDC/Arbitrum) + 3 (USDT/Arbitrum) = 32 active sources. EUR total: 4 (EURC/Base).